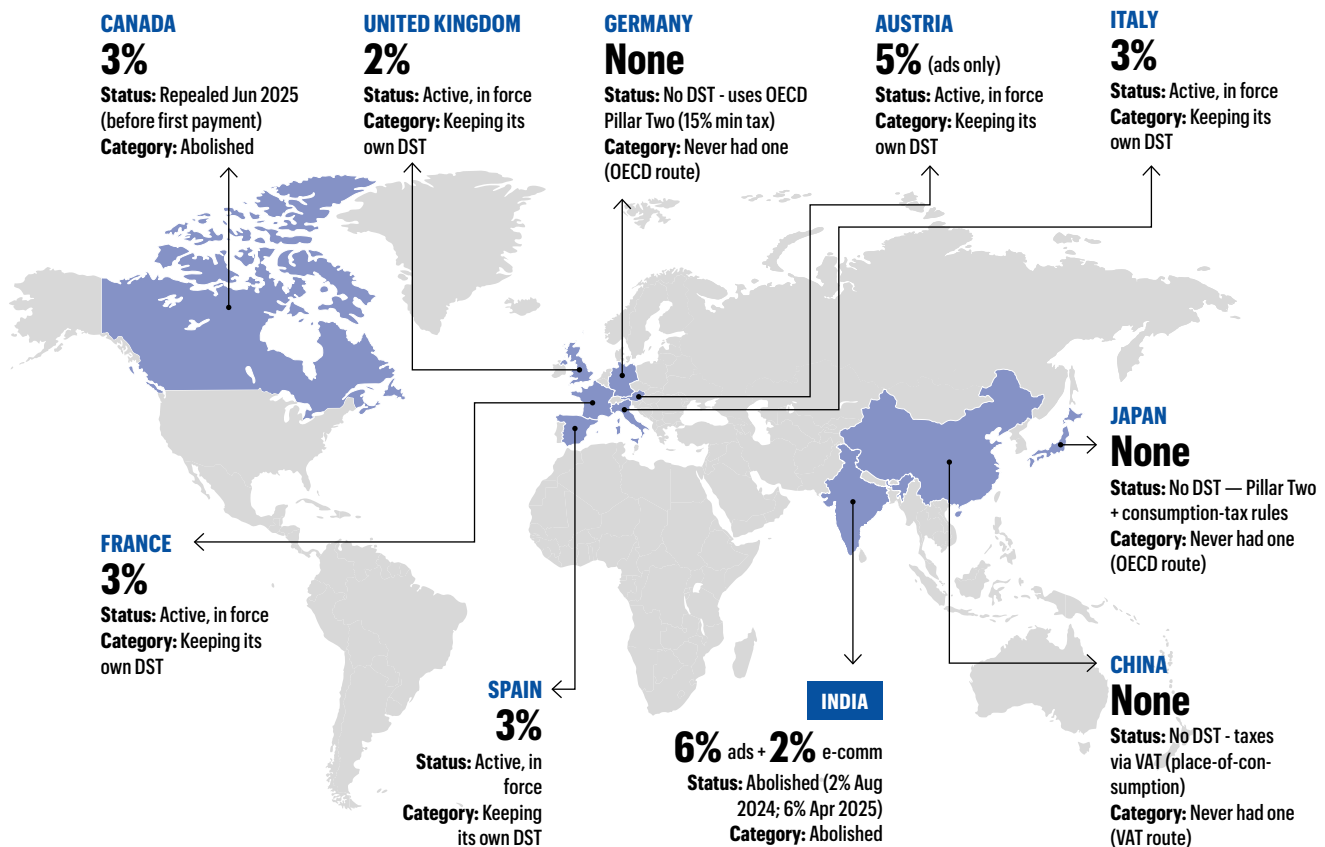


DIGITAL SERVICES TAX AROUND THE WORLD



SOURCE KATALYST ADVISORS

Consequently, taxation of digital revenues would primarily need to be examined under the traditional provisions relating to royalty/fees for technical services and significant economic presence,” says Nangia & Co’s Agarwal.

NOW WHAT?

As things stand, several angles are at play. Defining the nature of a service in the digital world is not easy, and online advertising is no exception.

Globally, according to Dalal, the picture is mixed. “India and Canada have done away with their digital levies, while some countries never introduced one.

The UK, France, Italy and Spain continue to have such levies,” he explains.

While the OECD has been trying to arrive at a global tax-allocation model, securing universal support is tricky. “Besides, it has a limited set of member countries. India is not an OECD member but the US is.” That, among other things, indicates how difficult the journey is.

Kothari thinks the chances of the equalisation levy being reintroduced appear bleak, given the comity of nations and the global village the world is becoming. “India, being the leader of the Global South, cannot unilaterally

reintroduce it without inviting the displeasure of other countries and, more so, the tech giants, who in turn have a tremendous say over their own governments. The UK and Australia still have the Google Tax in some way or another, whether you call it a diverted profits tax or a digital services tax. However, these countries have ensured that the mega-corporations still find it attractive to do business in their markets,” he says with clarity. In what form the issue will resurface, if it indeed does, promises to be interesting—and not without complexity. **BT**

@surabhi_prasad, @krishnagopalan